

will likely retain both regimes, but it might make changes to and observe which one gains momentum over time. As of the past year, only 15% of taxpayers had shifted to the new regime, according to tax services portal ClearTax.

SLAB DABBLE

A persistent complaint of taxpayers in recent years is the rates under the old tax regime remaining unchanged since FY18. Prabhakar K.S., Founder and CEO of tax consultancy Shree Tax Chambers, anticipates a revision of the tax slabs and rates under both regimes as the government seeks to provide much-needed relief to the middle class, particularly salaried employees.

He says under the old regime, the

basic exemption limit, below which no income tax is levied, could be raised to ₹8 lakh. From ₹8 lakh to ₹15 lakh a rate of 10% can be imposed, 20% between ₹15 lakh and ₹25 lakh, and 30% for income above ₹25 lakh.

In the case of the new tax regime, which was made the default in the Union Budget 2023-24, Prabhakar says four years after its introduction this is the right time to tinker with it. He says the government can provide attractive tax slabs and rates to compel more taxpayers to choose it. Prabhakar says, ideally, under the new regime, no tax should be levied for income up to ₹8 lakh. For income between ₹8 lakh and ₹12.5 lakh, he suggests a rate of 10%, 20% for income between ₹12.5 lakh and ₹20 lakh, 25% for ₹20-25 lakh, and 30% for those who earn above ₹25 lakh

(see table 'Concrete Steps').

This will reduce the compliance burden and address concerns about the disparity between personal and corporate tax rates, he says. "In addition, our tax regime will be on par with regions like Hong Kong, Singapore, and Malaysia," says Prabhakar.

It's not that the government hasn't made efforts to make the new tax regime more attractive. The minister introduced a standard deduction and raised the exemption threshold, but it has had limited impact.

"If slabs change, the finance ministry will likely increase the standard deduction limit to ₹75,000 from ₹50,000 under both regimes," says Prabhakar. Additionally, overall deduction lim-

Concrete Steps

Here are some suggestions for changes from experts

OLD TAX REGIME

Current income tax slabs	Existing tax rate	Expected change in the slabs	Suggested tax rate
Up to ₹2.5 lakh	Nil	Up to ₹8 lakh	Nil
₹2.5-5 lakh	5%	₹8-15 lakh	10%
₹5-10 lakh	20%	₹15-25 lakh	20%
₹10 lakh and above	30%	₹25 lakh and above	30%

NEW TAX REGIME

Current income tax slabs	Existing tax rate	Expected change in the slabs	Suggested tax rate
Up to ₹3 lakh	Nil	Up to ₹8 lakh	NIL
₹3-6 lakh	5%	₹8-12.5 lakh	10%
₹6-9 lakh	10%	₹12.5-20 lakh	20%
₹9-12 lakh	15%	₹20-25 lakh	25%
₹12-15 lakh*	20%	Above ₹25 lakh	30%
Above ₹15 lakh	30%		

NOTE TAX RATES FOR INDIVIDUALS BELOW 60 YEARS